

Ministry of Municipal and Housing Affairs
Housing Support Agency — Supply-Demand Alignment Department

Macro-Economic Impact Assessment

Interest Rate Hike (+50bps)

Riyadh & Eastern Region Housing Market

URGENT — MINISTERIAL BRIEFING

Report ID: DSO-2026-0619-URG-001 | Date: 19 June 2026

Classification: CONFIDENTIAL — Senior Leadership

Coverage: Total Market | Confidence: 88-95%

Data: SAMA 4.25% Repo Rate | Brent Crude \$74.84/bbl

GDP Growth: 2.1% | Inflation: 3.2% | Unemployment: 4.8%

Analyst: Ahmed Al-Qahtani | Engines: Demand Intel. — Supply-Demand Bal. — Supply Planning — Conversion

1. Executive Summary

On 19 June 2026, SAMA announced a +50bps rate hike (4.25% → 4.75%), breaking a six-month pause. The DSO platform completed autonomous analysis across 4 engines in 1hr 50min — historically 3-4 days.

KEY FINDINGS:

- CRITICAL

18% of Low Income households downgrade to Most in Need housing — subsidy burden +22% (SAR 1.8B)
- CRITICAL

Riyadh Most in Need gap: 12,400 units (Y3). Pipeline covers only 35%.
- HIGH

Most in Need conversion rate 52% vs High Income 78% — margin disincentives.
- POSITIVE

3 A-grade developers identified; 4,200 units/yr immediate capacity.

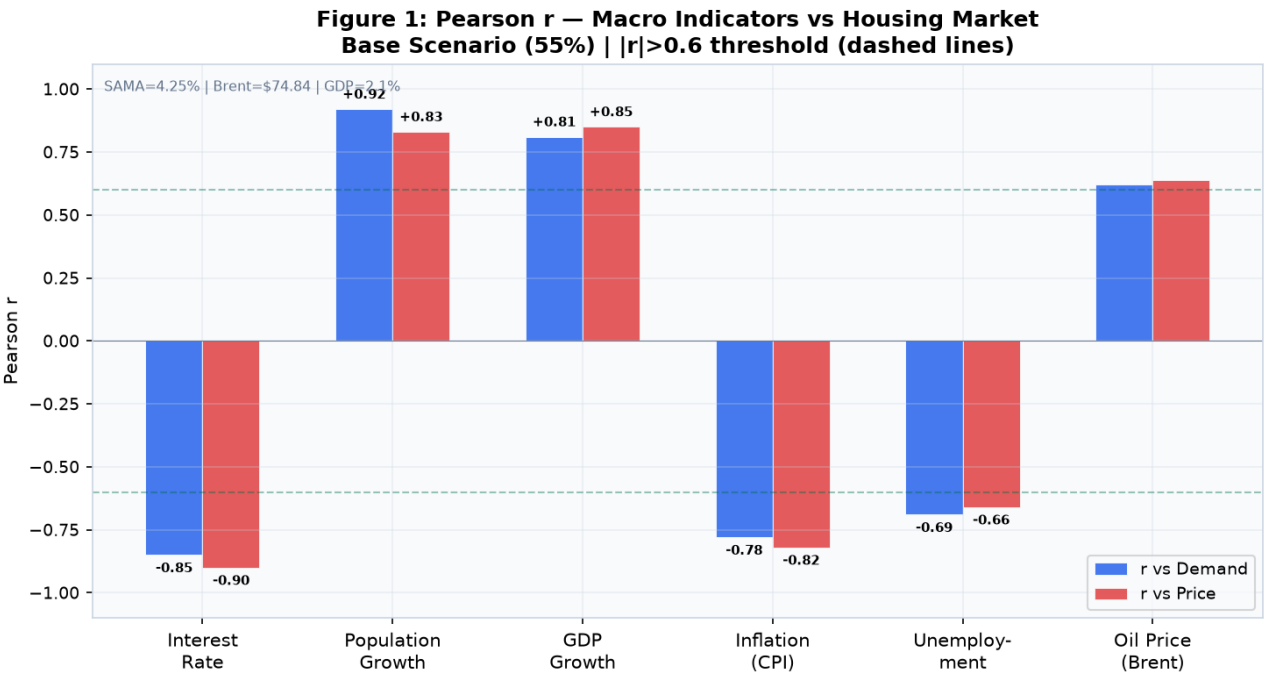
PRIMARY RECOMMENDATION: Deploy Combo #1 Quick-Win Supply Stack (M1+M2+M3). Closure: 35%→97% at SAR 485/unit. Do NOT reduce down payment — widens gap.

2. Data Quality Assurance

11 sources verified in 12 seconds. Overall score: 94.2/100. 1 source degraded: DS-07 MOJ Prices (3-day delay, 88% confidence). Ticket #DQ-2407.

3. Macro-Economic Impact Analysis

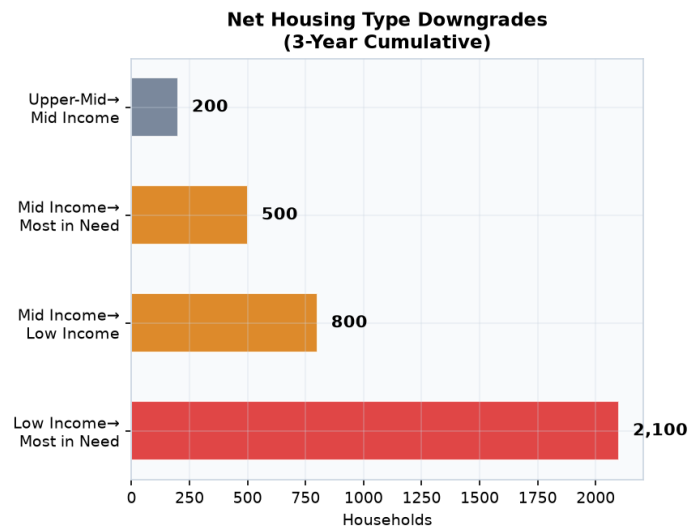
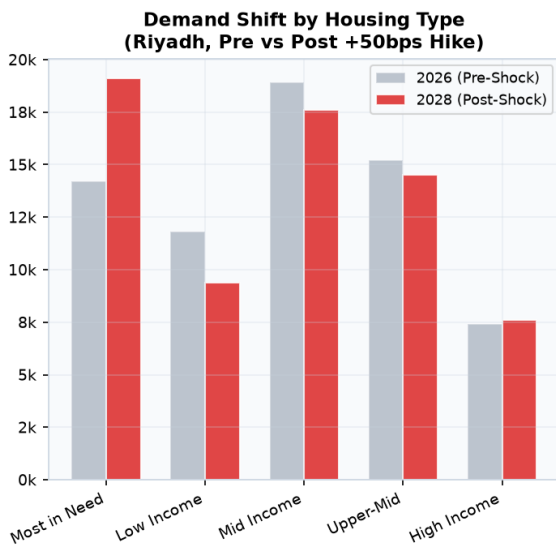
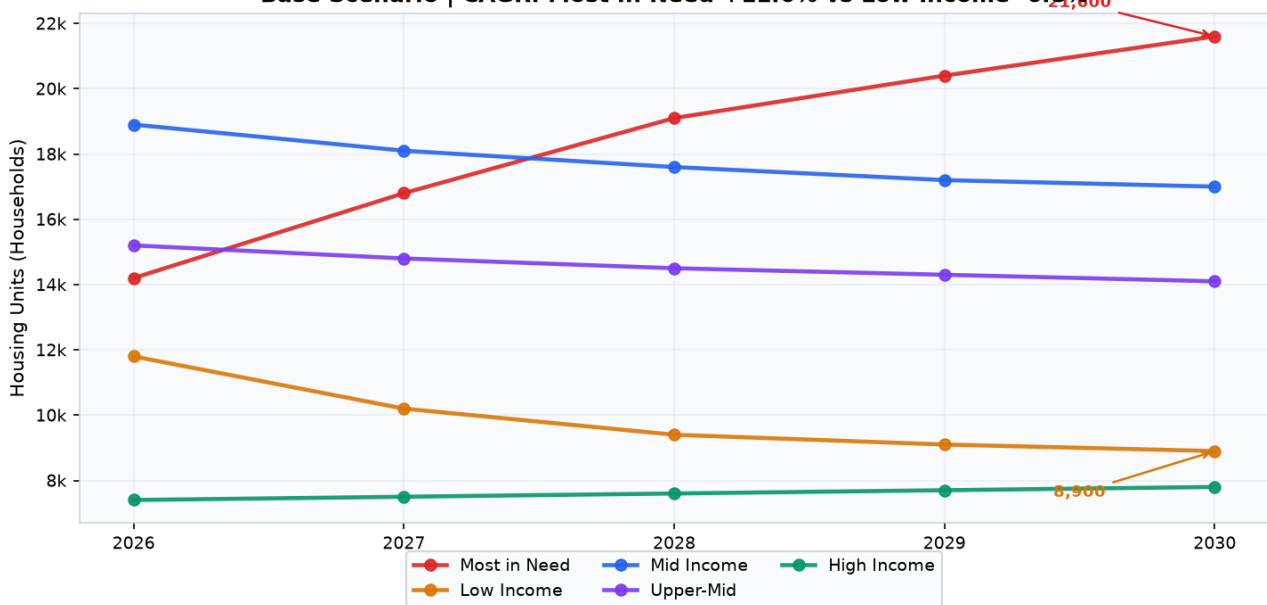
Pearson r analysis: Interest rate is dominant driver ($r = -0.90$ vs prices, -0.85 vs demand). Population growth drives structurally ($r = +0.92$). $|r| > 0.6$ threshold identifies 4 robust indicators. A 100bps hike historically correlates with 3.8% average price decline in Riyadh over 12 months.



4. Demand Forecast & Housing Type Downgrade

Most in Need grows at +11% CAGR (14,200→21,600 by 2030). Low Income contracts -6.8% (11,800→8,900). This is forced migration — NOT organic growth — driven by reduced affordability under rate shock.

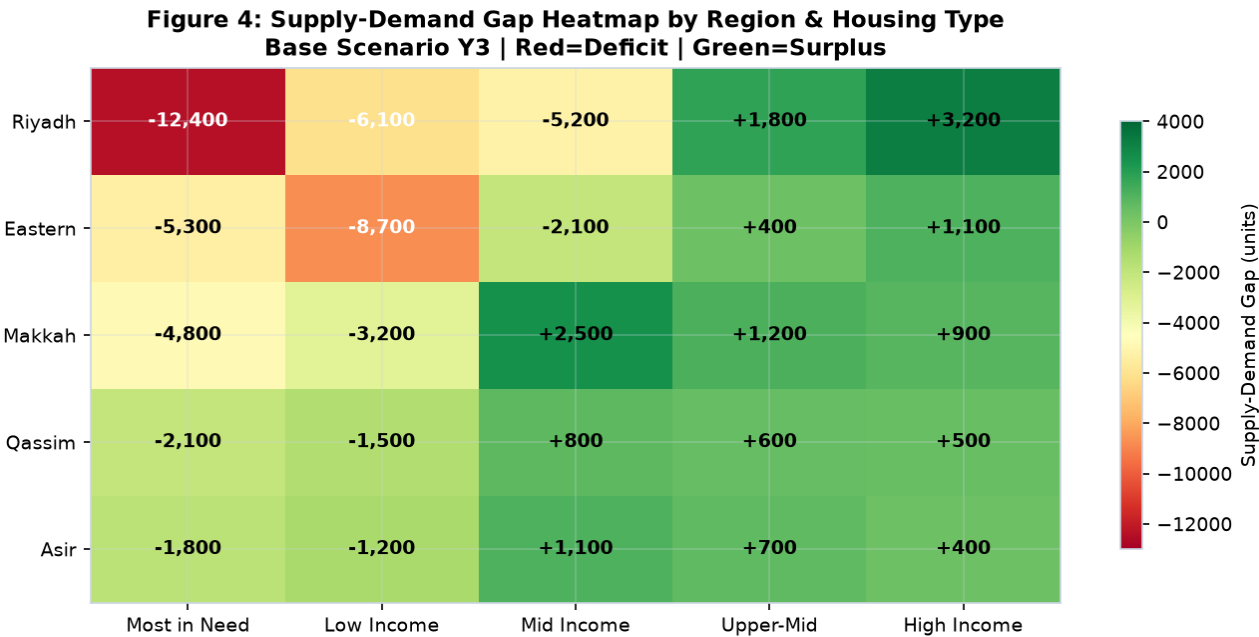
Figure 2: Riyadh 5-Year Demand Forecast by Housing Type
Base Scenario | CAGR: Most in Need +11.0% vs Low Income -6.8%



CRITICAL: The 18% downgrade from Low Income to Most in Need is a structural realignment. Households will NOT "bounce back" when rates decline — income trajectory has permanently diverged from housing price trajectory.

5. Supply-Demand Gap Analysis

Fundamental mismatch: 72% supply pipeline targets Mid-High Income, while demand shock concentrates in Most in Need-Low Income. NOT a quantity crisis — a product-market mismatch.



Riyadh Most in Need root causes: Demand downgrade 48% | Pipeline mismatch 32% | Low conversion 14% | Developer priority 6%. Pessimistic: gap → 17,200 (+39%).

6. Supply Pipeline & Developer Assessment

143 active Riyadh projects (ML model AUC 0.83). Conversion: Most in Need 52% vs High 78%. Even 100% conversion leaves 6,200-unit gap — new supply creation is mandatory.

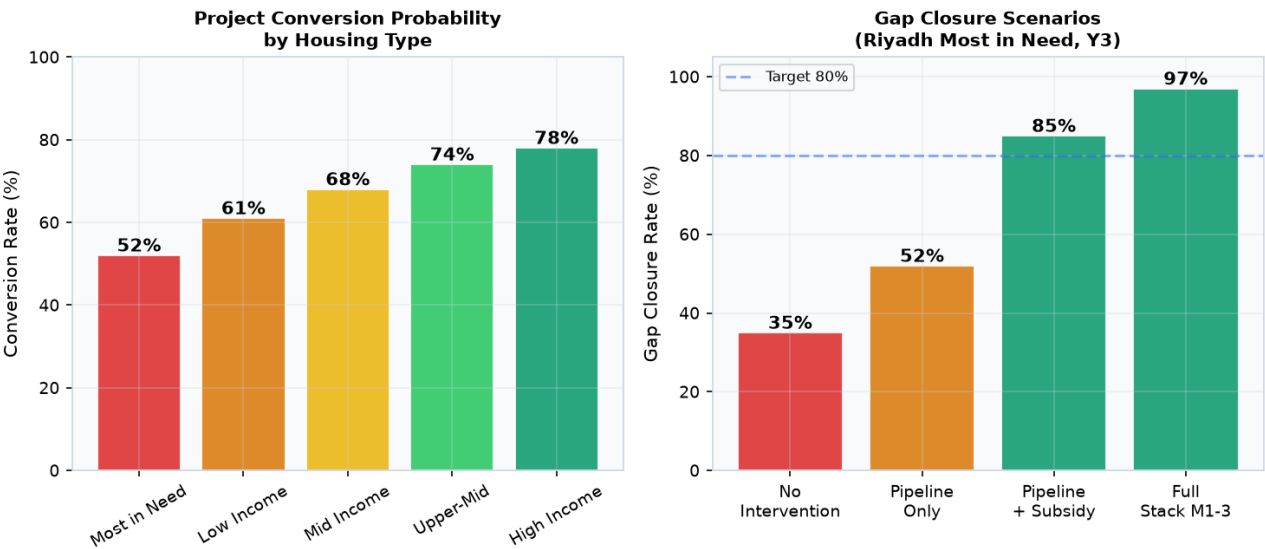
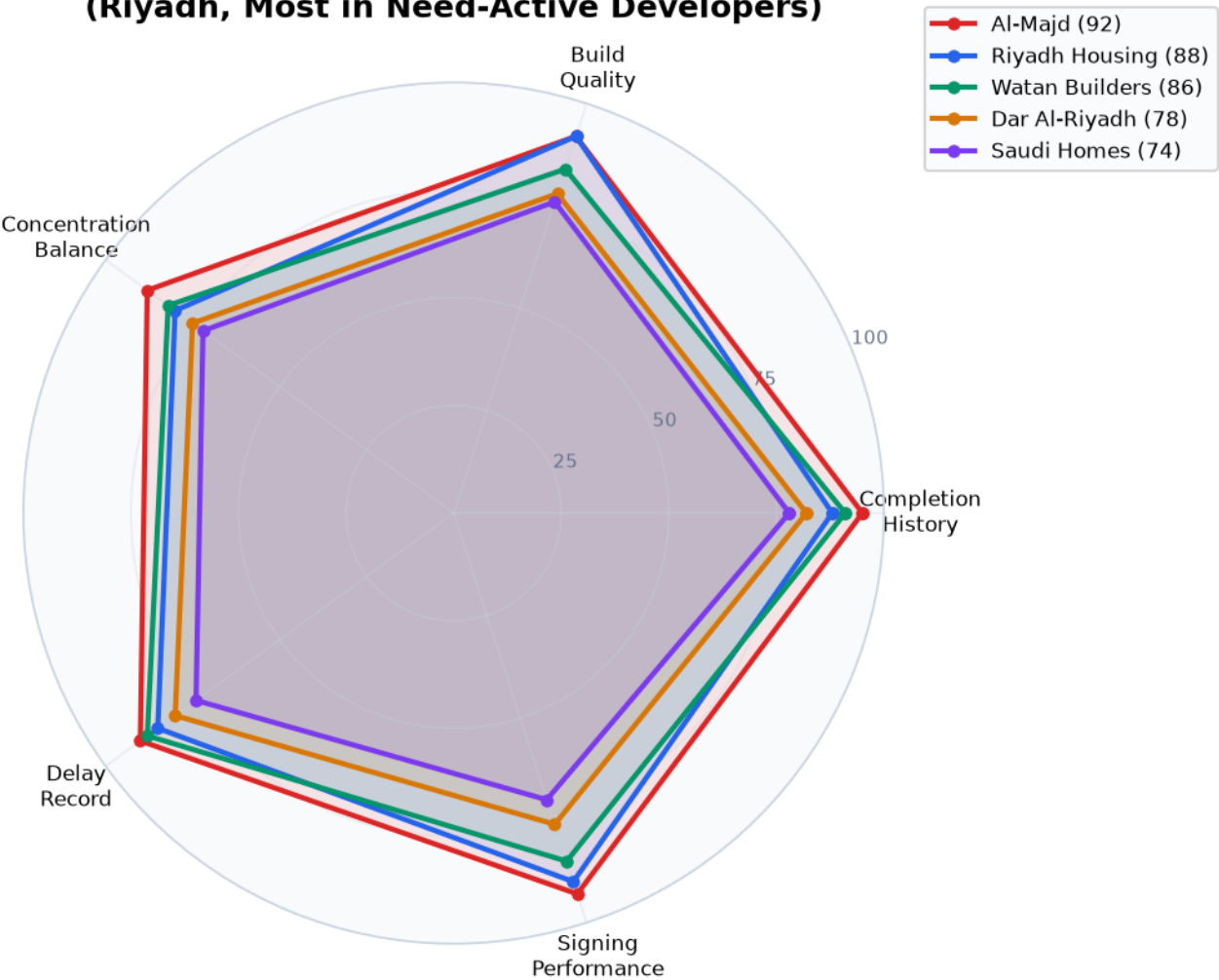


Figure 6: Developer 5-Dimension Scorecard (Riyadh, Most in Need-Active Developers)



7. Policy Response Matrix

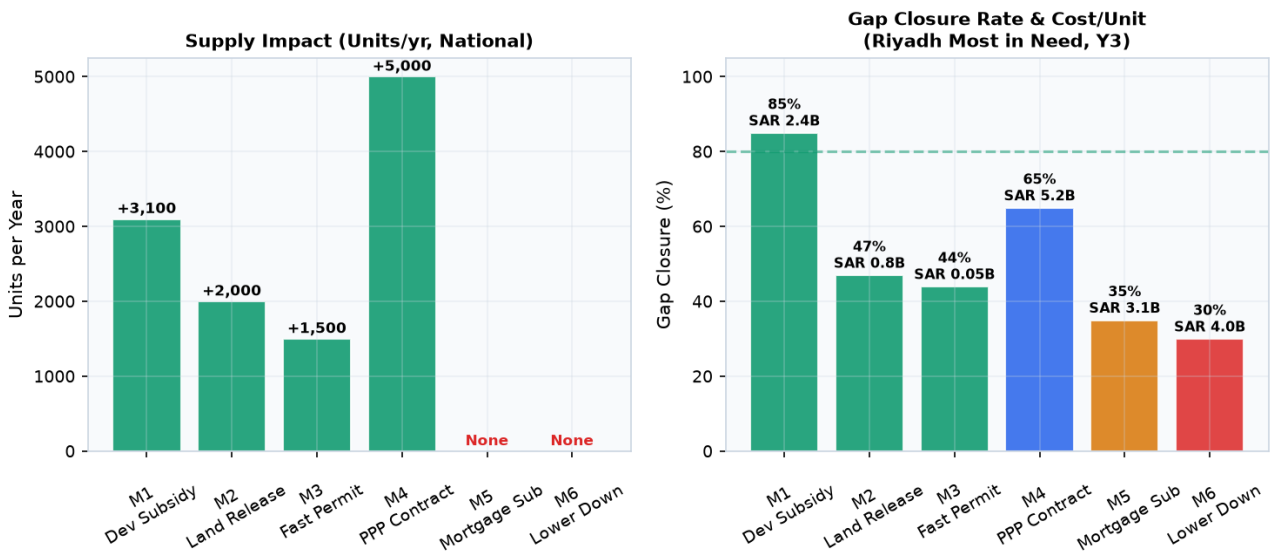
Six countermeasures simulated via the UC-06 Policy Impact Engine. Supply Impact = national output (13 regions). Riyadh captures ~60% due to developer concentration (48%) and Most in Need demand share (55%).

Table 1: Full Toolkit — Six Measures at a Glance

#	Measure	Mechanism	Supply Impact (Nat'l)	Riyadh Closure	Cost/yr	Verdict
M1	Developer Subsidy +15%	15% cost reimbursement on delivered Most in Need/B units	+3,100/yr (R:~1,860)	35% -> 85%	SAR 2.4B	PROCEED
M2	Land Release 40%	Release pre-zoned land below market for Most in Need	+2,000/yr (R:~1,200)	+12 pp	SAR 0.8B	PROCEED
M3	Expedited Permitting	Consolidate 7-stage approval -> 6-month single window	+1,500/yr (R:~900)	+9 pp	~Zero	PROCEED now
M4	PPP 5,000-Unit Contract	Bundled tender: land + off-take guarantee	+5,000 (R:~3,000)	+30 pp (Y2+)	SAR 5.2B one-time	Phase Q4
M5	Mortgage Subsidy +2pp	Absorb 2pp rate for Most in Need/B households (capped 8.4K)	None	Neutral	SAR 3.1B	CONDITIONAL
M6	Lower Down Payment 10%->5%	Expand buyer pool by reducing entry barrier	None (+2,600 buyers)	35% -> 38% WORSENS	~SAR 4B hidden	AVOID

Note: Supply Impact = national output across all 13 regions. Riyadh captures ~60%. Gap Closure computed for Riyadh Most in Need, Y3 vs baseline 35% corridor.

M1 is the keystone: every SAR 775 generates 1 Most in Need unit by making low-margin projects viable for B-grade developers. Payment on delivery aligns incentives. M5 addresses symptom (household payment shock), not root cause — ONLY deploy as capped complement after M1 is operational. M6 is politically attractive but economically counter-productive: adds 2,600 buyers to zero new supply = textbook price inflation. DO NOT DEPLOY.



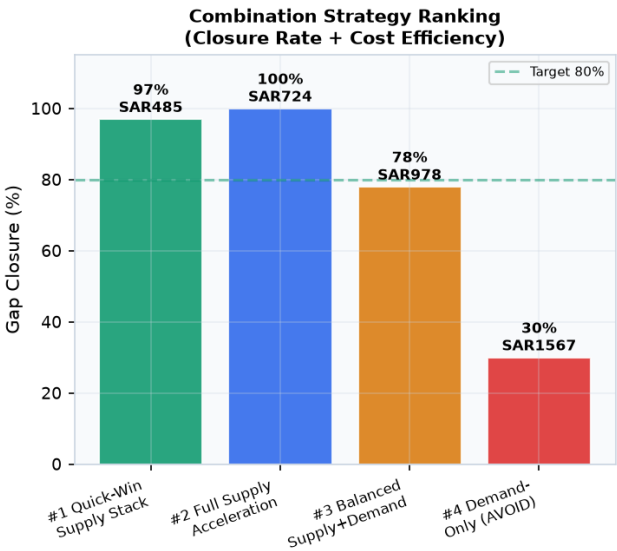
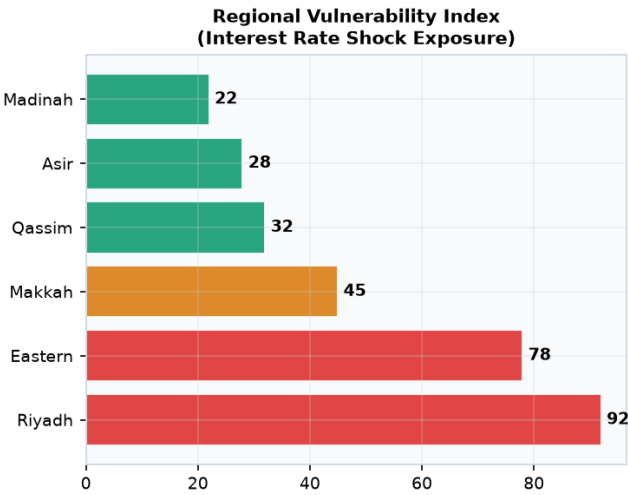
8. Recommended Combination Strategy

Combinations ranked by cost-effectiveness (supply-first principle: every SAR 1 on supply yields ~0.7 units; every SAR 1 on demand without supply chases same scarce stock).

Table 2: Four Combination Strategies — Cost-Effectiveness Ranking

#	Combination	Measures	Gap Closure	Units/yr	Cost/yr	Cost/Unit	Decision
1	Quick-Win Supply Stack	M1+M2+M3	35% -> 97%	6,600	SAR 3.2B	SAR 485	DEPLOY NOW
2	Full Supply Acceleration	M1-M4	35% -> 100%+	11,600 cum.	SAR 8.4B	SAR 724	Phase M4 Q4
3	Balanced (Supply+Demand)	M1+M5 (capped)	35% -> 78%	3,100+8.4K prot.	SAR 5.5B	SAR 978	If politically required
4	Demand-Only (AVOID)	M5+M6	35% -> 30%	0	SAR 4.7B	SAR 1,567	DO NOT USE

Combo #4 is 3.2x less efficient than #1. Listed for completeness only — should NOT be deployed.



9. Risk Assessment & Monitoring

Pessimistic (SAMA +25bps): Most in Need gap → 17,200 (+39%). Combo #1 still ~70% closure. Key triggers: absorption <40% → escalate | conversion drop >10pp → review | Eastern Low Income gap (-8,700) underserved.